

ORIGINAL

(S E R V E D)
(SEPTEMBER 24, 1997)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

DOCKET NO. 89-26

THE GOVERNMENT OF THE
TERRITORY OF GUAM

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

NOTICE OF SCHEDULING OF ORAL ARGUMENT

The Commission has determined to grant Complainant Government of Guam's ("GovGuam") request for oral argument in this proceeding. Given the number and complexity of the issues in this proceeding, the Commission believes that an oral argument on all of the issues would be unwieldy and confusing and would serve no useful purpose. However, there are a limited number of issues which the Commission believes should be addressed at oral argument.

Count III of the Complaint alleges that Respondent Sea-Land Service, Inc. ("Sea-Land") continued to operate port-to-port from the West Coast to Guam after withdrawing from the Guam Rate Agreement tariff, in violation of section 2 of the Intercoastal Shipping Act, 1933, 46 U.S.C. app. § 844, ("1933 Act") and section

17 of the Shipping Act, 1916, 46 U.S.C. app. § 816 ("1916 Act"). It is also alleged that Sea-Land engaged in an unreasonable preference and prejudice with respect to the assessment of untariffed charges in violation of section 16, First of the 1916 Act. Count IV of the Complaint alleges that Sea-Land also continued to operate port-to-port between Hawaii and Guam after canceling its tariff FMC-F No. 64. The allegations contained in Count IV are similar to those contained in Count III. In addition, Count I alleges, inter alia, that Sea-Land charged unjust and unreasonable port-to-port rates after it withdrew from the Guam Rate Agreement tariff and canceled tariff FMC-F No. 64, in violation of section 18(a) of the 1916 Act, 46 U.S.C. § 817.

One of the critical elements in establishing a violation of section 18(a) of the 1916 Act in this case is the number of containers that moved port-to-port after June 22, 1989, the date on which Sea-Land canceled its FMC tariffs. Without clear evidence of the number of containers that are allegedly subject to the Commission's jurisdiction it would be impossible to evaluate the merits of GovGuam's claim that the rates charged for these shipments were unreasonably high. Indeed, if few shipments are involved, a rate-of-return analysis may be inappropriate. Even if the Commission were to find a violation of section 18(a) of the

1916 Act, absent a quantification of the port-to-port containers, it would have no basis to award reparations. The same would be true with respect to the alleged violations set forth in Counts III and IV of the Complaint. Addressing this element of proof, GovGuam prepared a statistical analysis of containers moving through Sea-Land facilities after June 22, 1989, which was offered to show how many containers were subject to FMC jurisdiction. Sea-Land witnesses challenged the validity of the analysis.

Before ruling on the contentions of the parties with respect to this issue, the Commission requests that GovGuam and Sea-Land address the issue at oral argument. Parties should restrict their arguments to the evidence of record. No additional evidence will be received.

There is also a procedural question which the Commission believes should be addressed at oral argument. The Administrative Law Judge found that Sea-Land's rates had not been shown to be unjust, unreasonable or otherwise unlawful based on American President Lines, Ltd.'s ("APL") "opportunity" cost study. (I.D. at 40.) The Commission requests the views of the parties regarding the need, if any, to remand the proceeding to the Administrative Law Judge in the event the Commission determines that the

reasonableness of Sea-Land's rates should be based on a rate-of-return analysis.

There is one final matter which the Commission believes the parties should address at oral argument. GovGuam adduced evidence during the hearing that, in allocating expenses to the Guam trade on the basis of containers moved, APL failed to count containers moving between Far East ports. It is unclear to the Commission what APL's position is with regard to GovGuam's evidence. Accordingly, the Commission will give APL the opportunity to address the issue at oral argument and refer the Commission to any rebuttal evidence of record. GovGuam will have an opportunity to reply during its rebuttal argument.

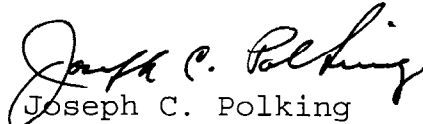
The parties are directed to confine their arguments to the three areas discussed above. The Commission will not permit arguments regarding other issues in the proceeding.

Oral Argument is scheduled for 10 a.m. on October 22, 1997, in the Hearing Room, located on the first floor of 800 North Capitol Street, N.W., Washington, D.C.

Complainant and intervenor Military Sealift Command (if it desires to appear) will appear first and be allotted a total of 20 minutes for argument, a portion of which may be reserved for rebuttal. Respondents similarly are allotted 20 minutes. Parties

should agree among themselves as to the allocation of each side's allotted time. Those parties desiring to appear at oral argument shall notify the Commission's Secretary within ten days of this Notice of the name and phone number of the individual who will be appearing, and of the amount of time desired by each individual.

By the Commission.


Joseph C. Polking
Secretary